Kelly disciples?

22% in Back of America (BAC)	54% in Navigator Holdings (NVGS)
13% in Sears Holdings (SHLD)	17% in EXCO Resources (XCO)

Now, I doubt any of them is actually going through the trouble of plugging numbers in the edge/odds formula I showed you before. But it is like an analogy I heard once about Minnesota Fats and physics. Fats didn't use math formulas from physics when he lined up a pool shot. But the principles of physics were at work nonetheless. It's just that Minnesota Fats had internalized them through experience.

We might say the same thing for these super investors. The principles of using edge and odds are part of what they do.

Matt's slide showed this in a striking way. To maximize your returns, you're better off following these examples. To flip it around, look at what unsuccessful investors do. The typical mutual fund holds about 100 stocks. None matters very much (or for very long). And most funds are poor mimics of the market.

As Buffett says up top, reject the Noah's Ark way of investing. It seems many great investors do. And it is what I try to do in my own portfolio:

Keep the list of names relatively short. And focus on the best ideas. When you hit that 100-bagger, you want it to matter.